

3-4 Adjusting Entries for Depreciation

Objective 4 - Journalize adjusting entries for depreciation.

Fixed assets (Physical resources that are owned and used by a business and are permanent or have a long life; long-term or relatively permanent tangible assets such as equipment, machinery, buildings, and land that are used in normal business operations.)

, or

plant assets (Physical resources that are owned and used by a business and are permanent or have a long life; long-term or relatively permanent tangible assets such as equipment, machinery, and buildings that are used in normal business operations.)

, are physical resources that are owned and used by a business and are permanent or have a long life. Examples of fixed assets include land, buildings, and equipment. In a sense, fixed assets are a type of *long-term* prepaid expense. However, because of their unique nature and long life, they are discussed separately from other prepaid expenses.

Fixed assets, such as office equipment, are used to generate revenue much like supplies are used to generate revenue. Unlike supplies, however, there is no visible reduction in the quantity of the equipment. Instead, as time passes, the equipment loses its ability to provide useful services. This decrease in usefulness is called

depreciation (The systematic periodic transfer of the cost of a fixed asset to an expense account during its expected useful life.)

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All fixed assets, except land, lose their usefulness and, thus, are said to

depreciate (To lose value or usefulness over time.) . As a fixed asset depreciates, a portion of its cost should be recorded as an expense. This periodic expense is called

depreciation expense (The portion of the cost of a fixed asset that is recorded as an expense each year of its useful life.)

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The adjusting entry to record depreciation expense is similar to the adjusting entry for supplies used. The depreciation expense account is increased (debited) for the amount of depreciation. However, the fixed asset account is not decreased (credited). This is because both the original cost of a fixed asset and the depreciation recorded since its purchase are reported on the balance sheet. Instead, an account entitled

Accumulated Depreciation (The contra asset account credited when recording the depreciation of a fixed asset.)

is increased (credited).

Accumulated depreciation accounts are called

contra accounts (An account offset against another account.) , or

contra asset accounts (An account offset against another account.) . This is because accumulated depreciation accounts are deducted from their related fixed asset accounts on

the balance sheet. The normal balance of a contra account is opposite to the account from which it is deducted. Because the normal balance of a fixed asset account is a debit, the normal balance of an accumulated depreciation account is a credit.

The normal titles for fixed asset accounts and their related contra asset accounts are as follows:

Fixed Asset Account	Contra Asset Account
Land	None—Land is not depreciated.
Buildings	Accumulated Depreciation—Buildings
Store Equipment	Accumulated Depreciation—Store Equipment
Office Equipment	Accumulated Depreciation—Office Equipment

The December 31, 20Y3, unadjusted trial balance of **NetSolutions** (Exhibit 3) indicates that NetSolutions owns two fixed assets: land and office equipment. Land does not depreciate; however, an adjusting entry is recorded for the depreciation of the office equipment for December. Assume that the office equipment depreciates \$50 during December. The depreciation expense account is increased (debited) by \$50, and the accumulated depreciation—office equipment account is increased (credited) by \$50. The adjusting journal entry and T accounts are as follows:

Adjusting Journal Entry

Dec. 31	Depreciation Expense	56	50
	Accumulated Depreciation—Office Equip.	19	50
	Depreciation on office equipment.		

Accounting Equation Impact

Assets		=	Liabilities	+	Stockholders' Equity (Expense)	
Office Equipment					Depreciation Expense	
Bal.	1,800				Dec. 31	50
Accumulated Depr.—Office Equip.						
					Dec. 31	50

After the adjusting journal entry is recorded and posted, the office equipment account still

has a debit balance of \$1,800. This is the original cost of the office equipment that was purchased on December 4. The accumulated depreciation—office equipment account has a credit balance of \$50. The difference between these two balances is the cost of the office equipment that has not yet been depreciated. This amount, called the **book value of the asset** (The difference between the cost of a fixed asset and its accumulated depreciation.)

(or

net book value (The difference between the cost of a fixed asset and its accumulated depreciation.)

), is computed as follows:

Book Value of Asset = Cost of Asset – Accumulated Depreciation of Asset

Book Value of Office Equipment = Cost of Office Equipment – Accumulated Depr. of Office Equipment
 = \$1,800 – \$50
 = \$1,750

The office equipment and its related accumulated depreciation are reported on the December 31, 20Y3, balance sheet as follows:

Office equipment	\$1,800	
Accumulated depreciation	<u>(50)</u>	\$1,750

Link to Netflix

On a recent balance sheet, **Netflix** reported property, plant, and equipment of \$981 million, accumulated depreciation of \$416 million, and a net book value of \$565 million.

The market value of a fixed asset usually differs from its book value. This is because depreciation is an *allocation* method, not a *valuation* method. That is, depreciation allocates the cost of a fixed asset to expense over its estimated life. Depreciation does not measure changes in market values, which vary from year to year. Thus, on December 31, 20Y3, the market value of NetSolutions' office equipment could be more or less than \$1,750.

If the adjustment for depreciation (\$50) is not recorded, Depreciation Expense on the income statement will be understated by \$50, and the net income will be overstated by \$50. On the balance sheet, assets (the book value of Office Equipment) and stockholders' equity (Retained Earnings) will be overstated by \$50. The effects of omitting the adjustment for depreciation are as follows:

	Amount of Misstatement
Income Statement	
Revenues correctly stated	\$ XX
Expenses understated by	<u>(50)</u>
Net income overstated by	<u>\$ 50</u>
Balance Sheet	
Assets overstated by	<u>\$ 50</u>
Liabilities correctly stated	\$ XX
Stockholders' equity overstated by	<u>50</u>
Total liabilities and stockholders'	

Check up Corner 3-3

Depreciation

Selected account balances for Atlanta Rhythm Company on December 31 are as follows:

	Debit Balances	Credit Balances
Equipment	\$40,000	
Accumulated Depreciation— Equipment		\$12,000

Depreciation on equipment during the year is \$4,000.

- Journalize the adjusting entry necessary for depreciation on December 31.
- Compute the book value of the equipment that will be reported on the balance sheet.